

ABSOLUTE RETURNS

To provide context for bitcoin's behavior in the first eight years of its life, we will compare it to other popular investments from both traditional and alternative asset classes. In terms of absolute returns, long-term comparisons between bitcoin and many other assets make most jaws drop, but it's important to keep *endpoint sensitivity* in mind. Endpoint sensitivity refers to the starting and ending dates chosen for comparison, because over time almost all assets fluctuate considerably in value. Choosing a low starting point and a high ending point will yield drastically different comparisons than a high starting point and low ending point.

We have chosen January 3, 2017, as the ending point of analysis for this chapter, as that was bitcoin's eight-year birthday. While designating a fixed endpoint, we have the flexibility to choose different starting points (including one of bitcoin's most notable peaks in late 2013). By illustrating both high and low starting points, we are able to show the variety of experiences investors could have had depending on when they first bought bitcoin. For those concerned with the cherry-picking of numbers, it should be noted that on January 3, 2017, the price of bitcoin was around \$1,000, whereas when this book was entering its final stages of editing, bitcoin had risen past \$3,000. We nonetheless have stuck with the \$1,000 price of bitcoin for the following comparison in pursuit of intellectual honesty.

To begin with, we examine the longest-term bitcoin prices we have that come from reliable exchange data. [Figure 7.1](#)